

**LIBRARY OF CONGRESS
U.S. COPYRIGHT OFFICE**

Comments of
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IN RESPONSE TO NOTICE OF INQUIRY
Docket No. 2015-6

A Preliminary Comment Concerning the Unlocking Technology Act of 2015

The NOI asks that concerns about the operation of 17 U.S.C. § 1201 not be addressed in response to this NOI, but the NOI itself draws attention to the Unlocking Technology Act of 2015, H.R. 1587, 114th Cong. Sec. 3 (2015). The NOI notes that this legislation would amend § 1201 to limit its applicability to prohibiting circumvention or trafficking in circumvention devices to situations neither authorized by the copyright holder or by law. That is, circumvention would not be prohibited for non-infringing access.

I note that this legislation actually would perfect the intent of the two WIPO treaties that § 1201 purported to implement. These treaties themselves require prohibition on circumvention of access controls only where not authorized by the copyright holder or by law. It is facially clear that the WIPO treaties did not intend to require prohibitions on circumvention for non-infringing uses.

One might have reasonably thought that § 1201(c) intended to make that clear as well, but courts and litigants have tended to ignore it – as has the U.S. Copyright Office.¹ Still, some courts have begun recognizing the need for at least a “copyright nexus” between the technological measure and some exclusive right under § 106 that is being protected by it.

¹ 17 U.S.C. § 1201(c) states:

Other Rights, Etc., Not Affected.—

(1) Nothing in this section shall affect rights, remedies, limitations, or defenses to copyright infringement, including fair use, under this title.

(2) Nothing in this section shall enlarge or diminish vicarious or contributory liability for copyright infringement in connection with any technology, product, service, device, component, or part thereof.

(3) Nothing in this section shall require that the design of, or design and selection of parts and components for, a consumer electronics, telecommunications, or computing product provide for a response to any particular technological measure, so long as such part or component, or the product in which such part or component is integrated, does not otherwise fall within the prohibitions of subsection (a)(2) or (b)(1).

(4) Nothing in this section shall enlarge or diminish any rights of free speech or the press for activities using consumer electronics, telecommunications, or computing products.

See, e.g., Chamberlain Group v. Skylink Technologies, Inc., 381 F.3d 1178 (Fed. Cir. 2004), *cert. denied*, 544 U.S. 923 (2005). In a nutshell, circumvention for non-infringing purposes must not be unlawful. That's the teaching of the WIPO treaties and *Skylink*. Plus, it is a requirement of the Constitution: Given that the First Amendment protects all non-infringing access to speech, and that Congress has no power to prohibit non-infringing access outside of the scope of the exclusive rights established under article I, section 8 authority, it is imperative that § 1201 not be interpreted in such a way as to empower anyone, under color of law, to use computer programs to suppress non-infringing uses of a work of authorship.

A Preliminary Comment Concerning "Software"

The NOI correctly notes that "computer programs" are literary works. But using "software" as synonymous with "computer programs" can be problematic. Just as § 202 underscores the distinction between "copies" and "copyrights," it is important to be clear whether one is discussing use of a copy or use of a copyright. Use of a copy is a function of ownership of the copy. Use of the copyright is a function of whether the use falls within § 106, as limited by §§ 107-122.

The Business Software Alliance and its members have, for many years now, been trotting out a fiction that "software is licensed, not sold," and have succeeded in obtaining some atrocious court rulings where copyright "licenses" have been used to trump ownership rights. With all other literary works, we have always understood that they can be both licensed and sold. The author of a poem may license its reproduction into copies, license the public performance of the poem (independent of whether the public performer has ever possessed a copy), and sell, lend or give away copies. The fact that it transferred a copy of a poem along with a license to perform it publicly, or to reproduce it, has no bearing whatsoever on the question of whether the transfer of the copy was by transfer of ownership or mere possession.

It would help the discussion in this NOI if the false "licensed or sold" dichotomy is avoided, and the discussion is clear as to whether any particular analysis refers to computer programs as intangible literary works or their tangible copies.

1. Ubiquity

Most issues concerning computer programs embedded in everyday products can be resolved by literal application of the Copyright Act. "Everyday products" are "material objects", and if a literary work is fixed in them, they are by definition "copies".

Although there is no basis for a copyright holder to exercise any greater control over the disposition of an everyday product such as a car, a watch, a computer or an oven, just because the item meets the definition of "copy or phonorecord," there is every reason to grant *less* control: If the exercise of any exclusive right over the work fixed in a copy or phonorecord results in power to control disposition beyond the scope of that particular copyright, the copyright must yield.

To illustrate, Section 109 grants the owner of a non-infringing copy the absolute right to rent that copy without the consent of the copyright holder, except in the case of phonorecords and certain specific kinds of copies of computer programs. So, while the copyright owner may rightfully prohibit rental of a phonorecord CD of "1989" by Taylor Swift, or rightfully prohibit the rental of a DVD copy of Adobe Acrobat, neither should have the power to prohibit the rental if the material object is an iPhone or laptop computer in which other works (by other authors) are fixed. First, the Copyright Act did not intend to grant Adobe the power to control the rental of laptops by merely persuading someone to reproduce Acrobat onto it. Second, where myriad works by different authors are fixed in a single material object, it would do violence to the exclusive right each copyright owner individually has to authorize – or not – the disposition of the material object. Tom may not be prohibited from authorizing Sally to rent her laptop upon which Tom's works were lawfully reproduced, merely because the laptop is also a lawfully made copy of the works of Dick and Harry as well, and they have not authorized it.

2. Frustrating Copyright

When copyright owners that had engaged in geographically-based price discrimination on the basis of a flawed interpretation of § 109 were rebuffed by the Supreme Court, which could find no basis in the Copyright Act for such a right,² they turned to computer programs to regain control. But this was not some facile direct use of code to gain greater control over uses beyond the scope of the copyright with respect to that specific copy. Pertinent to this NOI, different works of authorship (and some non-copyrightable bits and pieces) residing in different places work together to gain such power.

Microsoft Corporation and Adobe Systems both employ software-based means of trying to limit lawful uses of their works, and to suppress the § 109-authorized right of the owner to redistribute copies by sale. The computer programs are laced with additional lines of code that are unrelated to the primary works of authorship registered with the Copyright Office. Copies of these additional literary works are not what the customer intends to own when a copy is purchased or created under download license. Rather, the appended works work to disable private performance of the works after a period of time unless the owner (or user) of the work from the lawfully made copy inserts an alphanumeric "key".³ These keys, which may be distributed on the copy, with the copy, or entirely separate from the copy (and in effect can become the value token paid for while the actual reproduction is free) are then

² "A publisher may find it more difficult to charge different prices for the same book in different geographic markets. But we do not see how these facts help Wiley, for we can find no basic principle of copyright law that suggests that publishers are especially entitled to such rights." *Kirtsaeng v. John Wiley & Sons, Inc.*, No. 11–697, slip op. at 31, 568 U.S. __ (March 19, 2013).

³ It is hard to pin down the nature of the key. Microsoft prefers to say that it is not a license, but a "product key code," whereas Adobe insists it is some sort of "serial license key" or the like.

checked against databases operated by Microsoft and Adobe, respectively, to determine whether the user of the key was authorized to “use” the work (despite the absence of any § 106 exclusive right to use a work).

The upshot is that such schemes can serve to circumvent the very specific limitations that the Copyright Act places on exclusive rights, thereby enlarging the scope of the lawful monopoly. Specifically, the owner of a copy lawfully made under the Copyright Act is entitled to install it (reproduce it) onto a hard drive if necessary to run (privately perform) the work, but these alphanumeric “keys” work in conjunction with local and remote software to frustrate that entitlement if the copyright owner is displeased that a copy sold more cheaply in China made its way back into the United States, or that the product key purchased more cheaply in China is used in conjunction with free download to a U.S. consumer whom they wished had paid more for the key.

4. Legitimate Businesses Sued Out of Business

The product keys / license keys are not copyrighted. They are typically used to frustrate non-infringing uses of lawfully made copies – it is not enough to purchase and install the copy as permitted by law. In order to continue privately performing the work, one must present a valid key number. In a post-*Kirtsaeng* world, it is now quite common for copyright owners to allow free downloads directly from their websites, while relying on the sale of the keys to be the point where revenue is generated. When copyright owners distribute product keys cheaply in some markets, and more expensively in others, they stimulate natural arbitrage, yet there is no “exclusive right to perform a work privately” in the Copyright Act. Operating Microsoft Word to write this comment is never infringing, even if I were using a borrowed computer (not my copy), a stolen computer (not my copy) or even using a computer upon which was fixed an infringing reproduction. (The same is true with respect to reading a book – reading an infringing copy is never infringing.)

Yet, retailers are being sued for selling the “keys” that were issued by the copyright owners and for which they were paid whatever consideration they asked. When these keys are being used as a proxy for sales of copies, but for the sole purpose of circumventing the §§ 109 and 117 limitations, it is important that the copyright principles prevail.

These are, in reality, functional uses of the works. The prohibition in § 102(b) is more than just an acknowledgement of the idea/expression dichotomy. It goes further, prohibiting copyright protection for computer programs that are merely functional. (“In no case does copyright protection for an original work of authorship extend to any idea, procedure, process, system, method of operation, concept, principle, or discovery.”

5. Intersection With Antitrust Law

Where the copyright monopoly is narrow and limited, any use of one copyrighted work (computer program) to technologically avoid those limitations, whether on other computer programs or other works of authorship (or the owners of lawfully made copies or phonorecords thereof), the antitrust laws automatically come into play. The Sherman Act

prevents the enlargement of the lawful monopoly as well as the end-user license agreements in restraint of trade. The Copyright Office desperately needs to consult with the Department of Justice Antitrust Division, and carefully reintegrate copyright and antitrust law.

Conclusion

Computer “software” should be treated as what it is: Computer programs, which is so say, literary works of authorship that may, in the exercise of § 106, be both licensed (in the sense of authorizing another party to “do” any of the exclusive rights) or sold (in the sense of owners of lawfully made copies of the works exercising their § 109 rights, or being authorized by law to exercise § 117 rights). Any general license to “use” the software that does not track to the § 106 rights must be suspect, and any use of computer programs themselves to escape the §§ 107-122 limitations, or to expand upon the so-limited § 106 rights, must be challenged and changed.
